

SchoolStack Budget

Lender-Ready Financial Packet

QA Test Academy

5-Year Financial Model
Prepared March 27, 2026

Lender Readiness: Strong

This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

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This packet is generated from the school's financial model and is intended for lender review.
All projections are based on assumptions entered by the school founder.

Executive Summary

QA Test Academy projects \$749,127,660 in Year 5 revenue with a 98.1% profit margin. The model tells a strong financial story with 10 of 10 key metrics in healthy range, a great foundation for your mission.

- [] Lender Readiness: Strong
- [] Biggest Strength: Strong Year 5 profit
- [] Biggest Risk: No facility location secured yet, so facility costs are estimated
- [] Cash Runway: 60+ months

School Overview

QA Test Academy is a Startup / Pre-Opening Private School organized as a LLC (Single Member) with a Tuition-Based funding profile.

Supporting Assumptions

School Stage **Startup / Pre-Opening**
School Type **Private School**
Funding Profile **Tuition-Based**
Entity Type **LLC (Single Member)**
State **TX**
Opening Year **2026**

Enrollment Plan

Enrollment starts at 90 students in Year 1 and grows to 230 by Year 5 (156% growth).

Enrollment by Year

Year	Students
Year 1	90
Year 2	125
Year 3	160
Year 4	195
Year 5	230

Supporting Assumptions

Year 1 Enrollment **90**
Year 2 Enrollment **125**
Year 3 Enrollment **160**
Year 4 Enrollment **195**
Year 5 Enrollment **230**

Revenue Model

The revenue model is tuition-driven (99.9% of Year 1 revenue). Year 1 total revenue is projected at \$97.3M, growing to \$749.1M by Year 5.

[] Tuition %: 99.9%
 [] Public Funding %: 0.0%
 [] Philanthropy %: 0.1%

Revenue by Year

Year	Total Revenue
Year 1	\$97.3M
Year 2	\$193.3M
Year 3	\$329.9M
Year 4	\$513.0M
Year 5	\$749.1M

Supporting Assumptions

Net Tuition **\$97.2M**
 Registration Fees **\$18K**
 Annual Fund **\$50K**

Staffing Plan

Staffing costs are \$518K in Year 1, representing 0.5% of revenue. This leaves healthy room for other operating costs.

[+] Staffing % of Revenue: 0.5%

Supporting Assumptions

Head of School **\$95,000, 1 FTE**
 Lead Teacher **\$55,000, 6 FTE**
 Office Manager **\$42,000, 1 FTE**

Expense Summary

Total expenses grow from \$6.0M in Year 1 to \$29.4M by Year 5.

Expenses by Year

Year	Staffing	Operating	Debt Service	Total
Year 1	\$518K	\$5.5M	\$0	\$6.0M
Year 2	\$804K	\$9.3M	\$0	\$10.1M
Year 3	\$987K	\$14.4M	\$0	\$15.4M
Year 4	\$1.1M	\$20.6M	\$0	\$21.8M
Year 5	\$1.3M	\$28.1M	\$0	\$29.4M

Capital & Debt

No debt or capital financing is included in this model.

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 net income is projected at \$719.7M (96.1% margin).

- [+] Revenue per Student (Year 1): \$1,080,756 (benchmark: Private avg: \$12,000–\$25,000)
- [+] Cost per Student (Year 1): \$67,195 (benchmark: Target: "d 85% of revenue per student)
- [+] Staffing Cost (% of Revenue): 0.5% (benchmark: Industry avg: 50–65% of revenue)
- [+] Operating Cost (% of Revenue): 5.7% (benchmark: Target: under 30% of revenue)
- [+] Profit margin (Year 1): 93.8% (benchmark: Startup target: 0–5%; mature: 10%+)
- [+] Profit margin (Year 5): 98.1% (benchmark: Target: 10–15%+)
- [+] 5-Year Revenue Growth: 670.2% (benchmark: Healthy schools: 30–80% over 5 years)
- [+] Capacity Utilization (Year 5): 115.0% (benchmark: Optimal: 80–95% utilization)

5-Year Net Income Projection

Year	Students	Revenue	Expenses	Net Income	Margin
Year 1	90	\$97.3M	\$6.0M	\$91.2M	93.8%
Year 2	125	\$193.3M	\$10.1M	\$183.2M	94.8%
Year 3	160	\$329.9M	\$15.4M	\$314.6M	95.3%
Year 4	195	\$513.0M	\$21.8M	\$491.2M	95.8%
Year 5	230	\$749.1M	\$29.4M	\$719.7M	96.1%

Cash Flow Analysis

Cash stays positive throughout the entire 5-year projection.

- [] Cash Runway: 60+ months

Cumulative Cash Position

Year	Cumulative Net Income	Reserve Months
Year 1	\$91.2M	181.0 months
Year 2	\$276.4M	409.0 months
Year 3	\$596.2M	703.7 months
Year 4	\$1096.9M	1071.7 months
Year 5	\$1831.5M	1511.6 months

Debt Service Coverage

No debt service obligations are present in this model.

- [+] Year 1 Reserve Months: 181.0 months (benchmark: Target: 3+ months)
- [+] Year 2 Reserve Months: 409.0 months (benchmark: Target: 3+ months)
- [+] Year 3 Reserve Months: 703.7 months (benchmark: Target: 3+ months)
- [+] Year 4 Reserve Months: 1071.7 months (benchmark: Target: 3+ months)
- [+] Year 5 Reserve Months: 1511.6 months (benchmark: Target: 3+ months)

Operating Reserve Analysis

Year	Reserve Months	Status
Year 1	181.0 months	Adequate
Year 2	409.0 months	Adequate
Year 3	703.7 months	Adequate
Year 4	1071.7 months	Adequate
Year 5	1511.6 months	Adequate

Stress Testing

All 5 stress scenarios maintain positive Year 5 net income, indicating financial resilience.

Stress Test Results

Scenario	Y1 Net Income	Y5 Net Income	Break-Even
Enrollment 20% Below Plan	\$72.7M	\$587.3M	Year 1
Loss of Philanthropy	\$91.2M	\$734.5M	Year 1
Occupancy +15%, Personnel +5%	\$90.8M	\$733.7M	Year 1
Revenue Delayed 3 Months	\$66.9M	\$734.6M	Year 1
Interest Rate +2%	\$91.2M	\$734.6M	Year 1

Lender Readiness

Lender Readiness: Strong. This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

[+] Readiness Level: Strong

Financial Health Assessment

Across 7 health dimensions: 7 healthy, 0 on watch, 0 at risk.

[+] viability: Healthy
[+] liquidity: Healthy
[+] staffing burden: Healthy
[+] facility burden: Healthy
[+] revenue concentration: Healthy
[+] days cash: Healthy
[+] reserve strength: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches profit early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 1% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 1% of revenue are well-managed and leave budget for programs.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Days Cash	Healthy	5506 days of cash on hand exceeds the 90-day benchmark, providing a strong liquidity cushion.
Reserve Strength	Healthy	1511.6 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Risks

2 risk factors have been identified. None are rated critical, but each should have a documented mitigation plan.

[-] Enrollment growth needs demand evidence: high

[+] Staffing costs growing faster than enrollment: medium

HIGH

Enrollment growth needs demand evidence

Demand is the engine of your financial model. Every revenue line, staffing decision, and cost assumption depends on filling seats. If enrollment falls short, the entire model breaks downstream.

Evidence: Year 1: 90 students | Year 2: 125 students | Year 3: 160 students | Year 4: 195 students | Year 5: 230 students | Capacity: 200

Mitigation: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.

MEDIUM

Staffing costs growing faster than enrollment

Hiring ahead of demand locks in fixed costs before the revenue to support them arrives. If enrollment doesn't materialize as planned, staffing becomes an unsustainable burden.

Evidence: Year 2 enrollment: 125 students | Year 2 staffing cost: \$828,105

Mitigation: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps.

[-] Enrollment growth needs demand evidence: high

[+] Staffing costs growing faster than enrollment: medium

See Appendix for complete assumption details.

Appendix: Key Assumptions

Complete list of 16 assumptions used in this financial model.

Supporting Assumptions

School Name **QA Test Academy**

School Type **Private School**

Entity Type **LLC (Single Member)**

Funding Profile **Tuition-Based**

State **TX**

Year 1 Enrollment **90**

Year 2 Enrollment **125**

Year 3 Enrollment **160**

Year 4 Enrollment **195**

Year 5 Enrollment **230**

... and 6 more (see Appendix)